

# **GCE A LEVEL**

**A520U10-1**

## **PREDICTED PAPER – MODERATE**

### **ECONOMICS – A level component 1**

#### **Economic Principles**

1 hour 30 minutes

#### **For Examiner's use only**

| <b>Question</b> | <b>Maximum Mark</b> | <b>Mark Awarded</b> |
|-----------------|---------------------|---------------------|
| 1-20            | 20                  |                     |
| 21              | 3                   |                     |
| 22              | 6                   |                     |
| 23              | 3                   |                     |
| 24              | 4                   |                     |
| 25              | 8                   |                     |
| 26              | 8                   |                     |
| 27              | 8                   |                     |
| <b>Total</b>    | <b>60</b>           |                     |

#### **INSTRUCTIONS TO CANDIDATES**

Use black ink or black ball-point pen. Do not use pencil or gel pen. Do not use correction fluid.

Answer all questions.

Write your answers in the spaces provided in this booklet.

#### **INFORMATION FOR CANDIDATES**

The number of marks is given in brackets at the end of each question or part-question.

A calculator may be used.

## SECTION A

*For each question in Section A, write the letter (A, B, C, D or E) that corresponds to your answer in the box provided.*

*You are advised to spend approximately 30 minutes on this section.*

1. Which one of the following would most likely increase an economy's long run potential economic growth? **[1]**
  - A Higher rates of consumption spending by households
  - B An increase in net investment in capital goods
  - C A fall in the exchange rate
  - D A rise in transfer payments by the government
  - E An increase in imports of consumer goods
2. A good that is non-rival and non-excludable is best described as: **[1]**
  - A A private good
  - B A merit good
  - C A demerit good
  - D A public good
  - E A quasi-public good
3. A firm operating in perfect competition is currently producing at an output where  $AR = £10$ ,  $MC = £12$  and  $AC = £8$ . To maximise profits, the firm should: **[1]**
  - A Increase output until  $MC = MR$
  - B Decrease output until  $MC = MR$
  - C Shut down immediately
  - D Maintain current output
  - E Raise its price
4. In 2023, improved growing conditions in major coffee-producing countries led to a bumper harvest. At the same time, consumer preferences shifted towards tea. The most likely effect on the coffee market would be: **[1]**
  - A A rise in price and a rise in quantity
  - B A fall in price and a fall in quantity
  - C A rise in price and an indeterminate change in quantity
  - D A fall in price and an indeterminate change in quantity
  - E No change in equilibrium
5. A sustained appreciation of the pound sterling would most likely: **[1]**
  - A Increase the price of UK imports
  - B Reduce the competitiveness of UK exports
  - C Increase the UK's rate of inflation
  - D Improve the UK's current account balance
  - E Increase UK real GDP in the short run
6. Which of the following would most likely cause demand-pull inflation in an economy? **[1]**
  - A A rise in the price of imported raw materials
  - B A fall in labour productivity
  - C A sharp rise in consumer confidence and spending

- D An increase in direct taxes
- E An increase in the savings ratio

7. The table below shows income distribution data for four economies: [1]

| Country | Gini Coefficient | GDP per capita (\$) | HDI  |
|---------|------------------|---------------------|------|
| W       | 0.25             | 45,000              | 0.92 |
| X       | 0.35             | 38,000              | 0.88 |
| Y       | 0.48             | 12,000              | 0.72 |
| Z       | 0.55             | 3,500               | 0.48 |

It can be concluded that:

- A Country Z has the highest level of income inequality
  - B Country W has a higher GDP than Country X
  - C Country Y has a lower standard of living than Country Z
  - D Income inequality is positively correlated with HDI in all four countries
  - E Country X has the most equal income distribution
8. In a market, equilibrium price is £20 and equilibrium quantity is 500 units. The maximum price consumers are willing to pay is £50 (for the first unit), and the minimum price producers are willing to accept is £5 (for the first unit). Assume linear demand and supply. Consumer surplus at equilibrium is: [1]
- A £5,000
  - B £7,500
  - C £10,000
  - D £12,500
  - E £15,000
9. Compared to a perfectly competitive market, a pure monopoly is most likely to: [1]
- A Produce a higher output at a lower price
  - B Produce a lower output at a higher price
  - C Be both allocatively and productively efficient
  - D Earn only normal profits in the long run
  - E Face a perfectly elastic demand curve
10. In a city where the government has introduced strict rent controls (a maximum price below equilibrium), the most likely consequences include: [1]
- A Higher investment in new housing
  - B Shortages of rental accommodation
  - C Increased quality of rental properties
  - D A rise in equilibrium rent
  - E Surplus of available housing
11. The UK Government's national debt rose from £1,800bn in 2019 to £2,600bn in 2023. Over the same period, nominal GDP rose from £2,200bn to £2,700bn. It can be concluded that: [1]
- A Real GDP rose over the period
  - B The debt-to-GDP ratio fell over the period
  - C The debt-to-GDP ratio rose from approximately 82% to approximately 96%

- D The budget deficit must have been falling
- E Inflation averaged 5% per year

**12.** Which of the following best explains why CPI may overstate the true rise in the cost of living? **[1]**

- A It excludes housing costs
- B It does not account for substitution effects as consumers move to cheaper alternatives
- C It uses outdated weights
- D It includes indirect taxes
- E It excludes imported goods

**13.** A firm reduces the price of its product from £20 to £16. As a result, quantity demanded increases from 400 to 600 units. The price elasticity of demand (using the average/midpoint method) is approximately: **[1]**

- A -0.5
- B -1.0
- C -1.8
- D -2.0
- E -2.5

**14.** Country X can produce either 100 tonnes of wheat OR 50 cars with its resources. Country Y can produce either 80 tonnes of wheat OR 20 cars. Which of the following is true? **[1]**

- A Country X has a comparative advantage in both goods
- B Country Y has a comparative advantage in wheat
- C Country X has a comparative advantage in cars
- D No mutually beneficial trade is possible
- E Country Y has an absolute advantage in cars

**15.** According to the quantity theory of money ( $MV = PY$ ), if the money supply rises by 8%, the velocity of circulation falls by 2%, and real GDP rises by 3%, inflation will be approximately: **[1]**

- A 3%
- B 5%
- C 6%
- D 9%
- E 13%

**16.** Country A's index of export prices rises from 100 to 120. Its index of import prices rises from 100 to 110. Which of the following is correct? **[1]**

- A The terms of trade have deteriorated
- B The terms of trade index is 91.7
- C The terms of trade index has risen to 109.1
- D The current account will automatically improve
- E Exports will become less competitive

**17.** A country's central bank raises interest rates significantly. In the short run, this would most likely cause: **[1]**

- A A depreciation of the currency
- B A fall in hot money inflows
- C An appreciation of the currency
- D A rise in the rate of inflation

**E** A fall in the value of exports

**18.** The overuse of antibiotics leading to antimicrobial resistance is best described as an example of: **[1]**

- A** A public good
- B** A positive externality of consumption
- C** A negative externality of consumption
- D** A merit good
- E** Asymmetric information

**19.** In a market with a negative externality of production, the socially optimal output is where: **[1]**

- A**  $MPB = MPC$
- B**  $MSB = MSC$
- C**  $MPB = MSC$
- D**  $MSB = MPC$
- E** Price = MSC

**20.** The government imposes a specific tax of £2 per unit on sugary drinks. If demand is price inelastic and supply is price elastic, which of the following is most likely? **[1]**

- A** The tax will be borne mainly by producers
- B** The tax will be borne equally by consumers and producers
- C** The tax will be borne mainly by consumers
- D** The tax will not affect price at all
- E** Quantity demanded will fall significantly

## SECTION B

*Answer all the questions in the spaces provided.*

**21.** The diagram below shows a firm operating in perfect competition in the short run, producing at output  $Q_1$  where it maximises profits. **[3]**

[Diagram: MC curve, AC curve,  $AR=MR=D$  horizontal line at  $P_1$ , output  $Q_1$  at  $MC=MR$  intersection]

**Using the diagram, explain why the firm maximises profit at output  $Q_1$ .**

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**22.** The diagram below shows an economy initially in equilibrium at  $P_1Y_1$ , where real GDP is below the full employment level. The Bank of England then cuts the Bank Rate from 5% to 2%. **[6]**

[Diagram: AD/AS framework showing SRAS, LRAS, AD, initial equilibrium at  $P_1Y_1$  below LRAS]

**Consider the extent to which this policy would be beneficial for the economy. Adapt the diagram as part of your answer.**

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23. Norway has large North Sea oil reserves. Extracting oil from offshore rigs is capital intensive and requires complex infrastructure. When new oil deposits are discovered, it typically takes 5–10 years before production can begin. [3]

With the aid of a diagram, comment on the likely price elasticity of supply of Norwegian oil in the short run.

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24. A bakery has fixed costs of £500 per week (rent, equipment depreciation). The diagram below shows the bakery's short-run total cost curve as output of loaves increases from 0 to 1,000. [4]  
 [Diagram: TC curve starting at £500, rising gradually then more steeply as output increases]

Explain the shape of this firm's short run total cost curve.

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25. The pay-off matrix below shows the expected changes in employment (in thousands) for two neighbouring countries depending on whether they introduce a carbon tax. [8]

|                          | Country B: Carbon Tax | Country B: No Carbon Tax |
|--------------------------|-----------------------|--------------------------|
| Country A: Carbon Tax    | -10, -15              | -50, +30                 |
| Country A: No Carbon Tax | +40, -40              | +5, +10                  |

With reference to the matrix and economic theory, discuss whether or not governments should coordinate climate policy internationally.

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Additional data:

- With reference to the data above, consider how effective the UK Government's sugar tax has been in correcting market failure.**

[illegible]

**27.** The table below gives information on selected African economies: **[8]**

| Country  | GDP per capita (\$, PPP) | Adult literacy rate (%) | Life expectancy (years) | HDI   |
|----------|--------------------------|-------------------------|-------------------------|-------|
| Botswana | 17,100                   | 88                      | 61                      | 0.693 |
| Ghana    | 6,400                    | 80                      | 64                      | 0.632 |
| Kenya    | 5,200                    | 83                      | 67                      | 0.601 |
| Rwanda   | 2,800                    | 73                      | 70                      | 0.550 |
| Ethiopia | 2,800                    | 52                      | 66                      | 0.498 |
| DR Congo | 1,500                    | 80                      | 60                      | 0.457 |

**Using the information above and relevant economic theory, discuss the extent to which investment in education is the most effective way to promote economic development.**

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**END OF PAPER**